

AUSTRALIA

2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

1. Overview of the tax-benefit system

The Australian social security system is funded from general taxation revenue and not from employer or employee social security contributions. Duration of payment receipt is generally not time limited, with income support payments being paid subject to the continued meeting of eligibility criteria and means testing arrangements. Additional assistance is available for those paying rent in the private rental market, for families with dependent children and additional assistance with child care costs.

The Australian income support system consists of various pensions and benefits, each with its own eligibility. Income support payments do not include spousal assistance and partners of recipients must claim an income support payment in their own right. Income support payments are both income and asset tested with regimes differing depending on whether a payment is classified as a 'pension' or 'benefit'. Unemployment and parenting payments for members of a couple are 'benefits', while the parenting payment for lone parents is classified as a 'pension'.

Reference date for all information is **June 30th 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Most payments for families with dependent children are subject to income testing either on individual or parental income or the income of the ‘second earner’.

1.1 *Average Worker wage (AW)*

The 2016 AW level is AUD 82,114.¹

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

Reference date for all information is **June 30th 2016**

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2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

Australia's unemployment payments are Newstart Allowance (NSA) and Youth Allowance (YA) (Other). YA (Other) is generally paid to unemployed people aged 16 to 21 years and NSA is paid to unemployed people aged 22 or over and under Age Pension age (currently 65 for both men and women, rising to 67 between 2017 and 2023).

Parenting Payment (PP) is available to the principal carer of a dependent child aged under six for partnered recipients, or aged under eight for single recipients. Only one parent or guardian can receive the payment.

Recipients of NSA, YA (Other) and PP receive tax-exempt Energy Supplements paid fortnightly and an Income Support Bonus (ISB), a tax-exempt payment made twice annually.

Other income support payments for people of workforce age include:

- Special Benefit (see Section 4);
- payments for full-time students, including YA (Student), Austudy and payments under the ABSTUDY scheme;
- payments for people with disability, and carers, including Disability Support Pension (DSP) and Carer Payment (CP);
- Sickness Allowance for people who are temporarily incapacitated for their usual work and have a job to return to;
- Widow Allowance for women born on or before 1 July 1955 if widowed, divorced or separated and without recent workforce experience;
- Partner Allowance for people born on or before 1 July 1955 whose partner is receiving either a pension, allowance, Austudy or ABSTUDY (no longer open to new entrants); and
- Wife Pension, for partners of Age Pension and DSP recipients, which is also closed to new entrants.

Program name in local language	Unemployment payments via Newstart Allowance (NSA) if 22 or older and Youth Allowance (Other) (YA (Other)) if under 22; Parenting Payment (Partnered) with one member caring for a child under six similar to NSA	
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)	n.a.	
Waiting period (days)	7 for NSA and Sickness Allowance (can be waived due to severe financial hardship). Other waiting periods may apply to NSA, YA(other) and Sickness Allowance, for example, if liquid assets exceed the relevant limit.	
Maximum duration (months)	No limit	
Up-rating mechanism of the benefit	NSA: indexed to CPI growth in March and September each year YA (Other): indexed to CPI growth in January each year	
Calculation of unemployment	initial benefit as % of calculation base	Flat rate

assistance benefit:	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base(1)	n.a.
	Permitted employment and disregards when receiving unemployment assistance benefit	NSA: income disregard of AUD 102 per fortnight, 50% withdrawal up to AUD 252, thereafter 60% withdrawal rate (for single principal carers of a dependent child, income disregard of AUD 102 per fortnight, 40% withdrawal thereafter) YA (Other): income disregard of AUD 143 per fortnight, 50% withdrawal up to AUD 250, thereafter 60%
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + NSA more generous than YA; G: + single allowees aged 60 or over entitled to higher rate after receiving support for 9 consecutive months
	family situation	G: + more generous rate with children for some recipients (but benefit not a function of number of children); lone parents may receive parenting payment (see table on family benefits) E: + YA(Other) subject to parental income test if dependent
	contract type	0
	other	Single allowees aged 60 or over eligible for higher rate after receiving income support for 9 continuous months

3.1 *Conditions for receipt*

All income support payments are flat-rate, in that they do not reflect prior work history or social security contributions. However, rates of payment are dependent on age, partnered status, presence of dependent children, whether people are renting in the private rental market and, for YA (Other) recipients, whether they live with and/or are dependent on their parents. Rates of payment are subject to personal and partner income testing with dependent YA (Other) recipients also subject to parental means testing arrangements. Social security benefits are not payable if assets exceed specified levels.

Newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status. Customers may also be subject to various other waiting periods. See Section 3.4.

To receive payment, an unemployed person (NSA or YA (Other) recipient) must be actively seeking suitable work or undertaking an activity to improve their employment prospects and must be available for and willing to accept suitable work, including part-time and casual employment. Early School Leavers, that is, young people under 22 receiving YA (Other) without a Year 12 certificate or a Certificate II qualification, will generally meet their activity test requirements by participating in full-time training or education, a combination of part-time education or training and part-time work for 25 hours per week, or other suitable activities for 25 hours per week and appropriate job search, until they obtain a Year 12 certificate or equivalent qualification. In certain circumstances, recipients may be exempted from meeting any or full activity test requirements (e.g. where they are temporarily incapacitated by injury or illness, personal crisis or caring duties).

PP recipients, both single and partnered, are generally transferred to NSA, if eligible, once their youngest child turns six for partnered parents, or eight for lone parents. Further information on PP (Single) for lone parents is at Section 0.

Most benefits are income tested, and unemployment and parenting payments are also not payable if assets exceed specified value limits. The asset value limits vary depending on whether the payment recipient is single or partnered and whether the person is a homeowner or non-homeowner. For partnered recipients, the asset test applies to the combined assets of the claimant and their partner. The value of the 'principal home' is exempt from the asset test. As at 30 June 2016, the value limits are as follows:

- Single (for full allowance or PP (Single)): homeowner AUD 202,000, non-homeowner AUD 348,500.
- Partnered (combined) (for full allowance): homeowner AUD 286,500, non-homeowner AUD 433,000.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Basic payment rates for NSA, PP (Partnered) and YA (Other) as of 30 June 2016 are listed below.

Recipients of NSA, PP (Partnered) and YA (Other) are also eligible to receive the Energy Supplement as part of their payment. The Energy Supplement is added to the basic payment rate and income tested as part of the payment. Supplementary payments, such as Commonwealth Rent Assistance (CRA) (see Section 5) and Pharmaceutical Allowance, may also be payable depending on the person's circumstances. Payments are made on a fortnightly basis.

For more information, please see 'A guide to Australian Government payments', at <http://www.humanservices.gov.au/corporate/publications-and-resources/a-guide-to-australian-government-payments>.

Basic rates (YA, NSA, PP (Partnered) and Energy Supplement) (in AUD):

Youth Allowance (YA)	(fortnightly)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Single, under 18, at home*	237.10	513.72	3.90	8.45	241.00	522.17
Single, 18 and over, at home*	285.20	617.93	4.60	9.97	289.80	627.90
Single, away from home	433.20	938.60	7.00	15.17	440.20	953.77
Single, with dependent child(ren)	567.60	1,229.80	9.20	19.93	576.80	1,249.73
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	737.10	1,597.05	12.00	26.00	749.10	1,623.05
Partnered, no dependent child(ren) (each)	433.20	938.60	7.00	15.17	440.20	953.77
Partnered, with children (each)	475.70	1030.68	7.70	16.68	438.40	1,047.37

Reference date for all information is **June 30th 2016**

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Newstart Allowance (NSA)	(fortnightly)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Single, 22 and over, no children	527.60	1,143.13	8.80	19.07	536.40	1,162.20
Single, 22 and over, with dependent child(ren)	570.80	1,236.73	9.50	20.58	580.30	1,257.32
Single, 60 and over, after 9 months on payment	570.80	1,236.73	9.50	20.58	580.30	1,257.32
Partnered, 22 or over (each)	476.40	1,032.20	7.90	17.12	484.30	1,049.32
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	737.10	1,597.05	12.00	26.00	749.10	1,623.05

Parenting Payment (PP)	(fortnightly maximum rate)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Partnered	476.40	1,032.20	7.90	17.12	484.30	1,049.32

* Commonwealth Rent Assistance is unavailable where a young person receives an 'at home' rate of payment.
Note: Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.
Source: A guide to Australian Government payments.

Rates of supplementary payments (ISB) (in AUD):

Income Support Bonus (ISB)	(bi-annually)
Single	111.50
Member of a couple	92.80

Note: the ISB ceased to be paid from 31 December 2016
Source: A guide to Australian Government payments.

3.2.1.1 Irregular additional payments

Pensioner Education Supplement

Pensioner Education Supplement (PES) is designed to help certain disadvantaged groups, such as lone parents and people with disability with the costs of approved study. Pensioner Education Supplement is paid fortnightly at a full rate of AUD 62.40 or part rate of AUD 31.20 per fortnight depending upon the recipient's study load.

Education Entry Payment

Education Entry Payment is payable once every 12 months as a lump-sum of AUD 208 for eligible recipients (including NSA and PP recipients) who are undertaking approved study.

Language, Literacy & Numeracy Supplement

Language, Literacy & Numeracy Supplement (LLNS) is paid to eligible job seekers participating in the Skills for Education and Employment program. LLNS of \$AUD 20.80 is paid fortnightly.

Approved Program of Work Supplement

Job seekers undertaking Work for the Dole and certain other approved activities may be eligible for an additional supplement of \$20.80 per fortnight.

3.2.1.2 Obligations of family members

In the Australian social security system, payments are based on individual entitlement; therefore payments for each member of a couple are determined individually. The interactions of the income and asset tests mean that earnings of one member of a couple can reduce, or extinguish, the rate of payment of the other member of the couple where a threshold limit is exceeded. Where one member of a couple does not meet the eligibility criteria, the other member of the couple may still qualify for payment. As shown in Section 3.2.1, payment amounts for individual members of a couple are lower than amounts paid to single individuals.

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Benefit receipt and rates of payment are determined by the operation of income and assets tests. Income for the purposes of income support income tests is 'ordinary income'. This concept differs to that used for taxation and family assistance purposes. 'Ordinary income' includes employment, financial investment income and various other sources of income not considered taxable income. Ordinary income excludes child maintenance income and other social security payments. Income is generally assessed in the first fortnight it is earned, derived or received.

The personal income test for unemployment payment recipients NSA and PP (Partnered) has an income disregard or 'free area' of AUD 102.00 per fortnight. Each dollar of income above AUD 102.00 and up to AUD 252.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar. For NSA recipients who are single and the principal carer of a dependent child, the withdrawal rate is 40 cents in the dollar for all income over the 'free area' of AUD 102.00 per fortnight.

The personal income test for YA (Other) has an income disregard or 'free area' of AUD 143.00 per fortnight. Each dollar of income above AUD 143.00 and up to AUD 250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

A recipient's partner can also earn an amount before their income affects the recipient's income support payment. Partner income above the partner income 'free area' of AUD 935.00 per fortnight reduces the rate of the recipient's payment by 60 cents in the dollar. This means that the partner of a NSA recipient could earn up to AUD 1,742.17 per fortnight before the recipient's payment is reduced to zero. This may be higher if the recipient is eligible for supplementary benefits. If the partner is receiving a pension payment, the couple's income is combined and 50 per cent assessed under the relevant income test for each member of the couple.

YA (Other) for dependent young people is subject to the personal income test and parental means testing arrangements that include parental income and family asset tests.

A recipient's rate of payment may also be affected by the operation of 'Working Credit'. Working Credit allows recipients whose income is less than AUD 48 per fortnight to build up 1 credit for every AUD 1 under AUD 48, up to a maximum of 1,000 credits (a maximum of 3,500 credits for YA (Other)). A recipient's Working Credit balance can be used to increase the amount they can earn before their income support payment is reduced. For example, an NSA recipient with a Working Credit balance of 200 credits

can earn AUD 302 for a given fortnight (i.e. the amount of the recipient's Working Credit balance plus the relevant fortnightly ordinary income free area) before their payment starts to reduce for that fortnight.

3.3 Tax treatment of benefit and interaction with other benefits

NSA, YA (Other) and PP (Partnered) are taxable payments. However, a tax rebate (or tax offset) operates so that a person in receipt of an income support payment for the entire income tax year does not pay tax on that payment (see Section 10.1.1.2).

3.4 Benefit duration and waiting periods

While there are generally no restrictions on the duration of unemployment payments, and recipients can re-apply for benefits after periods of ineligibility, recipients may be required to serve a waiting period, or periods, prior to payments commencing if they do not meet various hardship or waiver criteria. Waiting periods may apply in the following circumstances:

- A one-week ordinary waiting period for NSA or Sickness Allowance generally applies after lodgement of an application form.
- A 'liquid asset waiting period' may apply if a person has liquid assets beyond a set level on the day they or their partner become unemployed or incapacitated, or on the day the person lodged their claim. The maximum waiting period is 13 weeks. Liquid assets include cash, shares and debentures, and bank (including term) deposits. The thresholds are AUD 5,500 for singles and AUD 11,000 for couples or singles with dependants.
- A 'seasonal work preclusion period' will generally apply if a person or their partner is engaged in high-income seasonal work in the six months prior to claim.
- A person who reduces their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects will have to wait up to 26 weeks before receiving payment.
- A participation payment is not payable to a person for eight weeks if that person became unemployed due to a voluntary act or because of misconduct. However, the preclusion period does not apply if the voluntary act was reasonable or if the work was unsuitable for the person.
- Newly Arrived Resident's Waiting Period (NARWP) – New Australian residents granted permanent residence are subject to the NARWP of 104 weeks prior to receiving income support payments. This may not apply in certain circumstances.
- If a person receives a termination payment from their previous employment, including annual leave, long service leave, sick leave, maternity leave or a redundancy payment, they may have to serve an 'income maintenance period' during which these entitlements are apportioned and treated as income. The income maintenance period is equal to the leave period to which the termination payment relates. During this period, the claimant may receive either a reduced rate of benefit or no payment at all, depending on the value of their termination payments.

3.5 Treatment of particular groups

3.5.1 Young persons

YA (Other) has parental means testing arrangements for young people who have not met specified independence criteria. Parental means testing does not apply where a parent receives an income support payment. Partner means testing may also apply if the applicant is independent member of a couple.

3.5.2 *Full-time students*

Students may receive YA (Student) if they are aged 16-24 and meet the personal and/or parental (if dependent) income, asset and actual means tests. For students aged 25 or over, Austudy is available. ABSTUDY is also available to Aboriginal or Torres Strait Islander students. Partner means testing may apply if the applicant is independent.

3.5.3 *Older workers*

Single allowees aged 60 or over are eligible for a higher rate of payment after receiving income support for nine continuous months.

Partner Allowance may be payable to partners of income support recipients, if they have no recent workforce experience and were born on or before 1 July 1955. From 20 September 2003, Partner Allowance is closed to new entrants.

Widow Allowance is payable to women with no recent workforce experience who were widowed, divorced or separated since turning 40 years of age and born on or before 1 July 1955.

3.5.4 *Disability*

Disability Support Pension (DSP) is a payment for people with a permanent physical, intellectual or psychiatric impairment that prevents them from working 15 hours or more a week, or from being re-skilled for work for the next two years; or who are permanently blind. A claimant must be aged 16 years or older but under Age Pension age when claiming DSP.

3.5.5 *Carers*

Carer Payment is a pension payment that provides income support to carers who, due to the demands of their caring role, are unable to support themselves through substantial paid employment.

Carer Allowance is an income supplement which is not taxable or income and assets tested. It is available to carers who provide daily care and attention in a private home to a person with disability or medical condition. Carer Allowance can be paid in addition to a social security income support payment.

There is also a Carer Supplement which is paid to recipients of Carer Allowance for each person they care for and to recipients of Carer Payment. To qualify, the carer must be in receipt of Carer Allowance and/or Carer Payment for a payment period that includes 1 July.

Carers may also qualify for the Child Disability Assistance Payment, which is a \$1000 annual payment made for a child with disability under 16 years who attracts Carer Allowance for their carer.

3.5.6 *Others if applicable*

Lone parents may be eligible for PP (Single) (see Section 9).

4. Social assistance

The benefits described in Sections 3, 5, 6 and 9 are flat-rate means-tested benefits that do not depend on prior work history or social security contributions, and provide quite comprehensive coverage for low income working age Australians. Consequently, modelling results for social assistance payments reflect the benefits described in sections 3, 5, 6 and 9, and do not include Special Benefit. Special Benefit serves as a benefit of last resort. It is paid to people in severe financial hardship, who have no other means of support and for whom no other benefit is available.

Program name in local language		Newstart Allowance (NSA), Youth Allowance (Other) (YA (Other)), Parenting Payment (Partnered) with one member caring for a child under six similar to NSA
Minimum age condition for social assistance receipt		NSA if 22 or older, YA (Other) if under 22
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Under 22 receiving YA (Other) without upper secondary education or equivalent (Certificate III) must be participating in full-time training or education or a combination of part-time study and work for 25 hours per week, or other approved activities for 25 hours per week and appropriate job search.
	Active job search(2)	Yes
	Work requirement(2)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Uprating mechanism of the benefit		NSA: indexed to CPI growth in March and September each year YA (Other): indexed to CPI growth in January each year
Other supplements to basic benefit (per family)		No
Means-test for social assistance	Earnings disregards	NSA: income disregard of AUD 102 per fortnight, 50% withdrawal up to AUD 252, thereafter 60% withdrawal rate(for single principal carers of a dependent child, income disregard of AUD 102 per fortnight, 40% withdrawal thereafter)YA: income disregard of AUD 143 per fortnight, 50% withdrawal up to AUD 250, thereafter 60%

	Benefit withdrawal rate with regard to earned income	See earnings disregard
	Assets included in means test?	Yes
	Other benefits included in the means test	No
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + NSA more generous than YA (Other)
	family situation	G: + more generous rate with children for some recipients (but benefit not a function of number of children); lone parents may receive parenting payment (see table on family benefits) E: +YA(Other) subject to parental income test if dependent
	over time	0
	other	Single allowees aged 60 or over eligible for higher rate after receiving income support for 9 continuous months

4.1 Conditions for receipt

Special Benefit is not payable if assets exceed specified levels (see social security benefit asset test limits in Section 3.1). People receiving Special Benefit who are considered capable of working are expected to look for work and accept offers of suitable employment.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The rate of Special Benefit is discretionary; however, the maximum rate cannot exceed the rate of NSA or YA that the person would receive if they were eligible. A direct deduction income test applies to Special Benefit. This means that all regular in-kind support and personal income, whether earned or unearned, reduces the Special Benefit rate by that amount. There is no allowable income free area and no taper rate.

4.3 Tax treatment of benefit and interaction with other benefits

Special Benefit is taxable; however a tax rebate may be available (see Section 10.1.1.2).

4.4 Benefit duration and waiting periods

Special Benefit is generally granted for periods of 13 weeks. An entitlement review is conducted every 13 weeks to determine whether payment should continue.

People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to activity tests similar to the NSA activity tests. These people are also subject to certain preclusion or waiting periods.

4.5 Treatment of particular groups, including disabled

Not applicable.

5. Housing benefits for rented accommodation

Housing assistance exists in two main forms: Commonwealth Rent Assistance (CRA), and public housing provided by state and territory governments with financial assistance from the Australian Government.

Regular housing benefits	Program name in local language		Commonwealth Rent Assistance (CRA)
	Entitlement depends on	Household type/size	Yes
		Income	Yes, CRA does not have a separate income or assets test, however, the rate of CRA payable may be affected by the income or assets test applicable to the primary payment with which it is paid.
		Dwelling size	No
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		Paid to eligible individuals and families who rent in the private rental market and community housing and are recipients of social security payments and/or receiving more than the base rate of FTB Part A: 75% of rent above threshold until maximum reached.
	Uprating mechanism of the benefit		Rent thresholds and rates are indexed in March and September to the CPI
	Housing related support through other benefits		None

5.1 Conditions for receipt

CRA is a non-taxable income supplement payable with income support payments, Family Tax Benefit Part A, or a Veteran's service pension or income support supplement to eligible Australian individuals and families liable to pay private rent for their principal home.

State and territory governments provide public and community housing to households subject to various eligibility criteria and housing stock availability. The Australian Government provides financial support for this through a joint Commonwealth-State *National Affordable Housing Agreement*.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

CRA is paid at the rate of 75 cents for every dollar of rent paid above the specified minimum rent threshold until the maximum rate is reached. The maximum rates and minimum rent thresholds vary according to a person's family situation, i.e. single or couple and the number of children they have and, for singles without children, whether accommodation is shared with other adults.

Reference date for all information is **June 30th 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Commonwealth Rent Assistance

Rates at 30 June 2016 (in AUD)

Family situation	Maximum payment per fortnight	No payment if fortnightly rent is less than	Maximum payment if fortnightly rent is more than
Single, no children	130.40	116.00	289.87
Single, no children, sharer	86.93	116.00	231.91
Couple, no children*	122.80	188.20	351.93
Single, 1 or 2 children	153.02	152.60	356.63
Couple, 1 or 2 children	153.02	225.82	429.85
Single, 3 or more children	172.90	152.60	383.13
Couple, 3 or more children	172.90	225.82	456.35

Source: A guide to Australian Government payments.

*Other rates of payment are available for couples separated due to illness or temporarily separated.

5.2.2 *Income and earnings disregards*

CRA does not have a separate income or assets test, however, the rate of CRA payable may be affected by the income or assets test applicable to the primary payment with which it is paid.

Public housing rents and rebate structures are set and operated by state and territory governments at levels that ensure that tenants pay no more than between 20-25 per cent of their net income in housing costs. Net income for public rent purposes generally includes adult income support payments and some or all of Family Tax Benefit.

5.3 *Tax treatment of benefit and interaction with other benefits*

CRA is not taxable.

5.4 *Treatment of particular groups, including disabled*

Recipients of Disability Support Pension and Carer Payment are exempt from sharer's rate of CRA.

6. Family benefits

Family Tax Benefit Part A (FTB Part A) is provided to families with children, subject to a family income test, and includes additional supplements for large families, newborn children and families with multiple births (triplets or more). Family Tax Benefit Part B (FTB Part B) is paid to families with one main income, including lone parents. Families may be eligible for one or both of these benefits depending on their circumstances.

Family Tax Benefit (FTB) is paid either fortnightly based on an estimate of 'adjusted taxable income' or as a lump sum after the end of the financial year, when final taxable income is known. An end-of-year supplement is available for FTB Part A and FTB Part B when payments are reconciled following the lodgement of tax returns. Payments may also be reconciled using an income assessment if a family does not need to lodge a tax return. FTB recipients are also eligible for the Energy Supplement.

The Schoolkids Bonus provides additional assistance for parents and carers of eligible school aged children. (Ceased to be paid from 1 January 2017)

The Paid Parental Leave scheme provides financial support to working parents to take time off work to care for a new-born or recently adopted child. Parental Leave Pay provides support to working mothers and Dad and Partner Pay provides support to working fathers or partners.

Families who do not claim Parental Leave Pay may be eligible to have their FTB Part A increased for 13 weeks with the Newborn Supplement following a birth or adoption.

Double Orphan Pension (DOP) is a fortnightly payment of AUD 62.00 available for carers of children under 16 years of age or a full-time student 16 to 19 years of age (up until the end of the calendar year in which they turn 19) who are orphaned; or for carers of children who have one parent deceased and the whereabouts of the other parent is unknown, or the other parent is in prison for at least ten years, or a patient of a psychiatric hospital or nursing home indefinitely.

The Single Income Family Supplement (SIFS) provides assistance of up to AUD 300 a year for families with a primary earner earning between AUD 68,000 and AUD 150,000.

Program name (local name in parentheses if available)			Family Tax Benefit Part A	Family Tax Benefit Part B
Type of benefit			Targeted	Targeted, families with one main income, including lone parents (primary income earner earns AUD 100,000 or less)
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		15 (19)	15 (18)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		See 6.1 in country chapter	No
Uprating mechanism of the benefit			Rates indexed to CPI on 1 July each year; indexation of FTB Part A supplement paused until 30 June 2017.	Rates indexed to CPI on 1 July each year; indexation of FTB Part B supplement paused until 30 June 2017.
Benefit amount	Benefit amount per child varies	Age of	+	+

	with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	child		
		Number of children	++, +++ from fourth child	0
	Earnings disregard		AUD 51,027	AUD 100,000 for lone parents and higher earner in couples AUD 5,402 for lower earner in couples
	Withdrawal rate		20% withdrawal rate until benefit reduced to base rate; base rate until family income of AUD 94,316; 30% withdrawal for family income above that amount until benefit is reduced to zero.	Benefit withdrawn in full if income of lone parent or higher earner in a couple exceeds threshold 20% for lower earner in couple
	Assets part of means test?		No	No

Program name (local name in parentheses if available)		Schoolkids Bonus	Parenting Payment (single)
Type of benefit		Targeted	Non-activity tested if child below 6, activity tested afterwards
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	School-aged	7
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	Must be in receipt of FTB A and have adjusted taxable income of AUD 100,000 or less	Non-activity tested if child below 6, activity tested afterwards
Upating mechanism of the benefit		Rates indexed to CPI on 1 July each year.	Rates indexed to CPI on 20 March and 20 September each year; where necessary, a further increase is made that the rate does not fall

				below 25% of Male Total Average Weekly Earnings
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	+	0
		Number of children	++	0
	Earnings disregard	If family receives FTB Part A, flat rate bonus is given.		AUD 186.60/fortnight plus AUD 24.60 for each additional dependent child after the first
	Withdrawal rate	Benefit withdrawn in full once entitlement to FTB Part A reduced to zero or income exceeds AUD 100,000.		40%
	Assets part of means test?	No		Yes

6.1 *Conditions for receipt*

To receive FTB Part A, a family must have a qualifying child aged up to 19 years (up to the end of the calendar year in which they turn 19) . A child is not a qualifying child for FTB purposes if they receive an income support payment in their own right or they are aged 16-19 and not in full-time secondary study. Families eligible for FTB Part A with an adjusted taxable income of AUD 100,000 or less may also be eligible to receive the Schoolkids Bonus for each dependent child in primary or secondary study (ceased to be paid from 1 January 2017).

To receive FTB Part B, a family must have a qualifying 'FTB child' aged under 16 years, or a dependent full-time student up to the age of 18 (up to the end of the calendar year in which they turn 18) . The primary income earner's adjusted taxable income must also be AUD 100,000 or less.

A person may be eligible for Parental Leave Pay if they are the primary carer of a new-born or recently adopted child, usually the mother, and had an individual adjusted taxable income of AUD 150,000 or less

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in the financial year prior to the date of birth or adoption, or the claim date. The recipient must also be on leave or not working during their Parental Leave Pay period, and met other prior work test criteria.

A person may be eligible to receive Dad and Partner Pay if they are the biological father of the child, or the partner of the birth mother, or an adoptive parent and caring for the child. The recipient must also be on unpaid leave or not working during their Dad and Partner Pay period.

SIFS provides assistance to families with a qualifying child, where the primary earner has a taxable income between AUD 68,000 and AUD 150,000. The taxable income of a second earner (if any) may affect the payment.

6.2 Calculation of benefit amount

The amount of Family Tax Benefit that families receive varies according to the number, ages and personal circumstances of the children, and the personal circumstances and income of parents.

The Schoolkids Bonus is paid in two equal instalments each year of:

- AUD 215 for each eligible child in primary study (AUD 430 per year), and
- AUD 428 for each eligible child in secondary study (AUD 856 per year).

The Schoolkids Bonus is payable for eligible primary and full-time secondary students for whom families are receiving FTB Part A or who are themselves eligible for Youth Allowance, ABSTUDY Living Allowance, Disability Support Pension, Carer Payment, Parenting Payment or Special Benefit.

The Newborn Supplement is AUD 2,091.84 for the first child and AUD 1,046.25 for subsequent children.

Eligible working parents receive Parental Leave Pay at the rate of the National Minimum Wage, AUD 657.00 a week before tax, for a period of up to 18 weeks.

Eligible working dads or partners receive Dad and Partner Pay, at the same rate as Parental Leave Pay, for a period of up to two weeks.

The rate of SIFS is determined based on the taxable incomes of both the primary and second earner. If the primary earner's taxable income is greater than AUD 68,000, the rate increases from nil by 2.5 cents in the dollar until it reaches a maximum of AUD 300 at a taxable income of AUD 80,000. Taxable income in excess of AUD 120,000 reduces the payment by one cent in the dollar until the Supplement rate is nil at AUD 150,000. If the claimant is a member of a couple, the rate payable based on the primary earner's taxable income is also reduced by the second earner's taxable income. If the second earner's taxable income exceeds AUD 16,000, the rate reduces by 15 cents in the dollar, until the rate reaches nil.

6.2.1 Calculation of gross benefit

Family Tax Benefit (FTB)

The maximum rate of FTB Part A comprises a rate paid for each dependent child, and the Large Family Supplement for families with four or more children aged under 16 years (or 19 years if in full-time secondary study) and the Energy Supplement Part A. For private renters, FTB Part A also includes Commonwealth Rent Assistance (CRA), calculated as outlined in Section 5. Newborn Supplement provides an increase in FTB Part A for up to 13 weeks for families that claim it for a birth, adoption or child aged under one year who is entrusted to care. Family Tax Benefit Part A is also available at a lower per child 'base rate' of payment that is subject to an income test with a higher income free area. The base

rate of payment for a family is calculated as the sum of the base rates for all FTB children and may also include the Large Family Supplement and the Energy Supplement Part A.

Family Tax Benefit Part B is a family-based payment with a maximum rate of payment based on the age of the youngest child. FTB Part B also includes the Energy Supplement Part B. The 2015-16 maximum rates of FTB are outlined in the following tables. The fortnightly rates of FTB Part A and FTB Part B exclude the 'per child' FTB Part A supplement and the 'per family' FTB Part B supplement, as the supplements can only be paid after the end of the income year when family income can be fully assessed.

2015-16 rates (in AUD)

Family Tax Benefit Part A

	Fortnightly rate	Yearly rate**
Child under 13*	179.76	5,412.95
Child 13-15*	233.94	6,825.50
Child 16-19 secondary student, or exempt from requirement*	233.94	6,825.50
Large Family Supplement (for fourth and subsequent children)	12.46	324.85
Base rate for each child*	57.68	2,230.15
<u>Energy Supplement Part A rates:</u>		
Maximum rates for each child:		
- Aged under 13 years		91.25
- Aged 13-15 years		116.80
- Aged 16-19 years		116.80
Base rates for each child:		
- All ages		36.50

Family Tax Benefit Part B

	Fortnightly rate	Yearly rate***
Age of youngest child		
Under 5 years*	152.88	4,339.85
5 - 15 years, (or 16 - 18 years if a full-time student)*	106.82	3,139.00
Energy Supplement Part B rates each family:		
Age of youngest child:		
- Under 5 years		73.00
- Aged 5-18 years		51.10

**The FTB Part A per year figures include the FTB Part A Supplement (AUD 726.35 per child) but the fortnightly figures do not.

***The FTB Part B yearly figures include the FTB Part B Supplement of AUD 354.05 per year but the fortnightly figures do not.

Source: A guide to Australian Government payments.

6.2.2 *Income and earnings disregards*

FTB Part A and its components (CRA, Newborn Supplement, Large Family Supplement and Energy Supplement Part A) are income tested. Income for the purposes of FTB income tests is 'adjusted taxable income' (ATI) and includes taxable income, target foreign income, certain employer provided fringe benefits, certain tax-free pensions or benefits, reportable superannuation contributions and total net rental property losses, minus any child support paid. FTB Part A is subject to a family income test and a maintenance income test. 'Family income' is the ATI of the parent claiming payment and their partner.

The family income test does not apply to those who receive, or whose partners receive, an income support payment such as a social security pension or benefit, or to families with income below AUD 51,027. Each dollar of family income above AUD 51,027 reduces the maximum rate of FTB Part A by 20 cents in the

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dollar. The payment rate is calculated using this income test until the rate is reduced to the base (or minimum) rate of FTB Part A for the family.

The base rate of FTB Part A is available until family income reaches AUD 94,316 per year. FTB Part A is then reduced by 30 cents for every dollar over that amount until the payment reaches nil.

Maintenance income above the Maintenance Income Free Area reduces the maximum rate of FTB Part A (including Rent Assistance) by 50 cents in the dollar until the base rate of FTB Part A for the family is reached.

Income limit beyond which only base rate of Family Tax Benefit Part A is paid (in AUD per year).

Number of children 0-12 years	Number of children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		74,406	n/a	n/a
One	67,215	90,593	n/a	n/a
Two	83,403	n/a	n/a	n/a
Three	n/a	n/a	n/a	n/a

Note: The income limit is higher if the claimant is eligible for CRA.

Income limit at which Family Tax Benefit Part A stops* (in AUD per year)

Number of children 0-12 years	Number of children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		101,872	120,450	155,162
One	101,872	113,260	147,971	184,307
Two	109,427	140,781	177,117	213,452
Three	133,590	169,926	206,262	242,598

* Income limits include the effect of the 'per child' AUD 726.35 per year FTB Part A supplement. Families with income approaching these amounts may only be paid FTB Part A at the end of the income year and not as fortnightly payments.

Source: A guide to Australian Government payments.

Family Tax Benefit Part B for couple families has two income tests. Eligibility is restricted to families where the primary income earner earns AUD 100,000 or less. An income test on the 'second' or lower income earner determines the FTB Part B amount. For second earners, every dollar of income (including income support payments) above AUD 5,402 a year reduces payment by 20 cents in the dollar. A second earner can still get some FTB Part B if their income is below AUD 27,467 a year if their youngest FTB child is under 5 years of age; or AUD 21,353 a year if their youngest FTB child is aged 5 years or over. These income limits take into account the FTB Part B Supplement of AUD 354.05 per year that can only be paid after the end of the income year and the Energy Supplement Part B.

Lone parents automatically receive the maximum amount of FTB Part B if they earn AUD 100,000 or less.

6.3 Tax treatment of benefit and interaction with other benefits

Family Tax Benefit and the Schoolkids Bonus are not taxable.

Parental Leave Pay and Dad and Partner Pay are taxable. Parental Leave Pay counts as income for other family payments.

If parents choose to receive Parental Leave Pay, they will not be eligible for FTB Part B during the 18-week Paid Parental Leave period.

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6.4 *Treatment of particular groups, including disabled*

Not applicable

7. Childcare for pre-school children

The table below shows the proportion of Australian children using ‘approved’ child care in June 2011, by type of child care and age of child:

Ages	Before and After School Care (%)	Centre Based Long Day Care (%)	Family Day Care (%)	Total (%)
0-4 years of age	0	32	5	39
5-11 years of age	12	0	1	14
All children 0-11 years	8	14	3	24

Note: Children aged over 11 years have been excluded from this analysis.

Source: ABS, Childhood Education and Care, Australia, June 2014, Catalogue number 44020DO001_201406

School Starting Age

Compulsory and minimum school starting ages are determined in each Australian state and territory and may vary. In New South Wales, the minimum starting age is five by 31 July in the year of entry and the compulsory starting age is six.

7.1 Out-of-pocket childcare fees paid by parents

The Australian Government does not set or regulate the fees that parents are charged by individual child care services. Variation in costs occurs as a result of factors including state and territory licensing requirements, award wages, and whether fees include charges for additional services such as nappies and meals. The median full-time long day care fee for centre-based care in the March quarter 2015 was AUD 400 per week (Source: Report on Government Services 2016).

Child care fees are not tax deductible, and are not taken into account when assessing entitlements for other benefits. A means tested fee subsidy, Child Care Benefit (CCB), is payable to eligible parents using CCB approved care. The rate of CCB depends on a number of factors.

In addition to CCB, the Australian Government provides the Child Care Rebate (CCR), which is not means tested. The CCR covers 50 per cent of the family’s out-of-pocket child care costs (after the CCB entitlement is deducted) for CCB approved children whose parents meet the work, training, or study test at some time during a week or have an exemption, up to an annual cap per child per year. The annual limit for CCR payable for child care costs incurred in 2015-16 is AUD 7,500 per child per year.

Child care Benefit calculation (2015/2016 tax year)²:

The maximum rate is payable for actual annual family income of less than \$43,727 or for families receiving income support.

Entitlement to any Child Care Benefit for approved care is lost if your family income is more than the following thresholds:

² <http://guides.dss.gov.au/family-assistance-guide/3/6/5>

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Number of children attending approved child care	Income limits before your payment reduces to \$0
1	\$152,147
2	\$157,654
3 or more	\$178,023 plus \$33,671 for each child after the third

The maximum weekly benefit payable depends on the number of kids. The standard hourly rate for 2015/16 tax year is \$4.17.

Number of children	Maximum Weekly benefit
1	Standard hourly rate x 50
2	(Standard hourly rate × 100) + \$18.71
3	(Standard hourly rate × 150) + \$54.39
4	3 child maximum benefit plus (standard hourly rate × 50) + (\$54.39 ÷ 3)

The standard hourly rate of CCB has various loadings applied.

For Out of School Hours Care the loading is 85%.

For Long Day Care (LDC) and Family Day Care (FDC) there is a part time loading.

- For FDC the loading is 133% and is applied where care hours are less than or equal to 37.5 hours per week.
- For LDC the loading is 110%, and is applied where care hours are less than or equal to 34 hours per week.

FDC also attracts a non standard hours loading – for all care delivered outside of standard hours, the hourly rate of CCB is multiplied by 133%.

Where parents meet the activity test, they are entitled to up to 50 hours of CCB subsidised care per week. Otherwise they are limited to 24 hours of subsidised care per week.

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8. Employment-conditional benefits

Not applicable.

9. Lone-parent benefits

Lone parents are entitled to PP (Single), YA or NSA, depending on their circumstances (see Section 3). They are also entitled to Income Support Bonus (see Section 3) and may receive Pharmaceutical and Telephone Allowances. Refer to Section 9.2.1.1 for additional irregular payments.

9.1 Conditions for receipt

See Section 3.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The maximum rate of PP (Single) is AUD 737.10 per fortnight. The maximum rate includes an additional pension supplement which is currently AUD 22.70 per fortnight. PP (Single) recipients can also receive an Energy Supplement which is currently AUD 12.00 per fortnight and an Income Support Bonus (see Section 3.2.1). Other allowances available to PP (Single) recipients include the Telephone Allowance of AUD 27.80 per quarter and the Pharmaceutical Allowance of AUD 6.20 per fortnight. Both of these allowances are also available to recipients of NSA and YA who are the single principal carer for a dependent child. Lone parent income support recipients are also entitled to the maximum rate of FTB Part A (unless the rate is reduced by the maintenance income test) and FTB Part B.

9.2.1.1 Irregular additional payments

As outlined in Section 3.2.1.1.

9.2.2 Income and earnings disregards

PP (Single) has an income free area of AUD 186.60 per fortnight plus AUD 24.60 for each additional dependent child after the first. Income above the free area reduces payment at the rate of 40 cents for each dollar. A lone parent with one child is entitled to a part payment if their income is below AUD 2,059.35 a fortnight plus AUD 24.60 for each additional child. The rate of PP (Single) may also be affected by the Working Credit scheme that operates as outlined in Section 3.2.

Recipients of NSA and YA who are the single principal carer for a dependent child have an income free area of AUD 102 per fortnight. Income above this amount reduces payment at the rate of 40 cents for each dollar.

9.3 Tax treatment of benefit and interaction with other benefits

Parenting Payment is assessable income for tax purposes. PP (Single) recipients are eligible for Seniors and Pensioners Tax Offset (SAPTO).

9.4 Benefit duration

There are no restrictions on the duration of payment.

9.5 Treatment of particular groups, including disabled

Not applicable

10. Tax system

As the Australian income tax year commences on 1 July, the following relates to the 2015-16 income tax year.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Basic reliefs: Taxable income earned up to AUD 18,200 per year by resident taxpayers is subject to tax at a zero rate.

10.1.1.2 Standard tax credits

Relief for low income earners: A tax credit of AUD 445 is available for taxpayers whose taxable income does not exceed AUD 37,000 per year. This credit is reduced by 1.5 cents for every dollar where the taxpayer's taxable income exceeds AUD 37,000 per year, and no tax credit is available once the taxpayer's taxable income equals AUD 66,667 per year.

The *Beneficiary Tax Offset* is generally available to recipients of taxable income support payments that are classified as 'social security benefits'. The benefits included are Newstart Allowance, Parenting Payment (Partnered), Youth Allowance, Widow Allowance, Mature Age Allowance, Partner Allowance, Sickness Allowance, Special Benefit and Austudy Payment. The tax offset is calculated using the following formula:

- If the person's benefit amount is not more than AUD 37,000 per year:

$$\text{Beneficiary Tax Offset} = 15 \text{ per cent of the difference between the amount of benefit or allowance received per year and AUD 6,000.}$$
- If the person's benefit amount is more than AUD 37,000 per year:

$$\text{Beneficiary Tax Offset} = (\text{the same formula as above}) + 15 \text{ per cent of the difference between the amount of benefit or allowance received per year and AUD 37,000.}$$

The *Seniors and Pensioners Tax Offset* (SAPTO) is available to people who receive an Australian government pension, or are of Age Pension age, and have taxable income for the relevant financial year less than the applicable cut-out threshold (see below) and were not in gaol for the whole of the financial year. PP (Single) recipients are eligible for SAPTO.

Seniors and Pensioners Tax Offset

AUD per year

	Maximum tax offset amount	Shade-out threshold	Cut-out threshold
Single	2 230	32 279	50 119
Couple			
General (each)	1 602	28 974	41 790
Separated due to illness (each)	2 040	31 279	47 599

The shade-out threshold is the maximum income at which taxpayers eligible for the SAPTO will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of income in excess of the shade-out threshold.

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The cut-out threshold is the level of income of a single person or a couple where the SAPTO is reduced to nil.

Members of a couple who are both eligible to receive the SAPTO may transfer the ‘unused amount’ to their partner if their partner is also eligible for the SAPTO. A higher level of SAPTO is available to eligible members of a couple who are separated due to illness.

10.1.2 *Income tax schedule (central government income tax)*

General rates of tax - resident individuals – 2015-16

Taxable income per year (AUD)		Tax at general rates on yearly total taxable income
Not less than	Not more than	
0	18,200	NIL
18,201	37,000	NIL + 19c for each AUD1 in excess of AUD18,200 per year
37,001	80,000	AUD3,572 per year + 32.5c for each AUD1 in excess of AUD37,000 per year
80,001	180,000	AUD17,547 per year + 37c for each AUD1 in excess of AUD80,000 per year
180,001 and over		AUD54,547 per year + 45c for each AUD1 in excess of AUD180,000 per year

The above rates do not include the Temporary budget repair levy; this levy is payable at a rate of 2% for taxable income over \$180,000.

A Medicare Levy is imposed on the taxable incomes of resident taxpayers. In 2015-16, the levy generally applies at the rate of 2 per cent of the taxable income of an individual. Certain thresholds are applied before the levy is imposed.

Medicare Levy thresholds (AUD per year) – 2015-16

Individuals	Lower Income Limit	Upper Income Limit
Eligible for the SAPTO	33,738	42,172
All other taxpayers	21,335	26,668
Families	Lower Income Limit	Upper Income Limit
Individuals with a spouse and/or dependants eligible for the SAPTO	46,966	58,707
Individuals with dependants not eligible for the SAPTO	36,001	45,001
Add for each dependent child	3,306	4,132

Where taxable income exceeds the lower income limit but does not exceed the higher income limit, ‘shading in’ provisions apply under which the levy payable is 10 per cent of the excess of taxable income over the lower income limit.

10.1.3 *State and local income taxes*

In Australia, no states or territories levy a tax based on a resident’s income.

10.2 *Treatment of family income*

Not applicable.

10.3 Social security contributions and payroll taxes

Part of Australia's retirement income system is the provision of compulsory employer contributions (the Superannuation Guarantee system). The Superannuation Guarantee requires employers to pay 9.5 per cent on top of employees' gross ordinary time earnings to an approved superannuation fund, provided they earn more than AUD 450 per month. In each quarter, any earnings beyond a threshold are not covered by the Superannuation Guarantee. In the 2015-16 tax year, this threshold was AUD 50,810 per quarter. These contributions are not reflected in the 'Tax-Benefits' calculations because they are not a form of taxation (they are not an unrequited transfer to general revenue).

There is a Medicare levy which is based upon taxable income (see Section 10.1.2).

10.3.3 Payroll taxes

Australian State Governments levy payroll taxes on wages, cash or in kind, paid by larger employers to their employees. The rates of payroll tax, thresholds and deductions differ across states. A summary of the annualised thresholds and rates are outlined below.

Payroll tax thresholds and rates by state and territory – 2015-16

State and territory	Annual Threshold (AUD)	Rate
NSW	750,000.00	5.45%
VIC	550,000.00	4.85%
QLD	1,100,000.00	4.75%
WA	800,000.00	5.50%
SA	600,000.00	4.95%
Tas	1,250,000.00	6.10%
ACT	1,850,000.00	6.85%
NT	1,500,000.00	5.50%

Payroll tax revenue is not used to fund social security payments. It forms part of the consolidated revenue of state governments, which do not deliver social security.

10.4 Treatment of particular groups

10.4.1 Young persons

Persons under 18 years of age are taxed differently on non-work income.

11. Part-time work

All income support recipients are able to engage in part-time work while receiving payment, subject to the operation of the relevant payment's income tests (see Sections 3.2.2, 4 and 9.2.2). While a person in full-time paid work is not eligible to receive unemployment payments, a person in full-time work is not excluded from all income support payments. For example, a part-rate of PP (Single) may be paid to a lone parent with one child if income is below AUD 2,059.35 per fortnight.

11.1 *Special benefit rules for part-time work*

There are no benefit rules relating to part-time work.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special tax or social security contribution rules for part-time work.

12. Policy developments

12.1 Policy changes introduced before 1 July 2016

Family Tax Benefit

A number of changes to FTB took effect from 1 July 2015:

- the FTB Part B primary earner income limit was reduced from AUD 150,000 to AUD 100,000;
- the FTB Part A Large Family Supplement was be limited to families with four or more children; and
- the FTB Part A per-child add-on to the higher income free area for each additional child after the first was removed.

Pensioner Education Supplement

The Government announced that it will abolish the Pensioner Education Supplement from 1 January 2015, however this budget measure did not commence and remains subject to the passage of legislation.

Education Entry Payment

The Government announced that it will abolish the Education Entry Payment from 1 January 2015, however this budget measure did not commence and remains subject to the passage of legislation.

12.2 Policy changes introduced since 1 July 2016

Unemployment Assistance

The Government announced a series of changes to unemployment payments in the 2014-15 and 2015-16 Budgets, originally intended to commence from the 1 July 2016 or earlier; however, these changes did not commence on that date and remain subject to the passage of legislation with a new start date of 1 July 2017. These changes will:

- extend the maximum qualifying age for YA (Other) to 24 and the minimum NSA and Sickness Allowance age to 25.
- introduce a four week waiting period and pre-benefit activities for new job ready jobseekers up to 25 years of age claiming YA (Other) or Special Benefit.
- extend the Ordinary Waiting Period (7 days) that currently applies to NSA and Sickness Allowance to YA (Other) and Parenting Payment, and tighten the rules for waiving the waiting period due to severe financial hardship.

Family Tax Benefit

A number of changes to FTB took effect on or after 1 July 2016:

- From 1 July 2016, the FTB Part A supplement is no longer payable if family income exceeds AUD 80,000.
- From 1 July 2016, the Large Family Supplement was abolished;
- From 1 January 2017 the gross value, rather than net (or adjusted) value, of reportable fringe benefits is included in a person's Adjusted Taxable Income for family assistance and youth payments. Fringe benefit income sourced from certain not-for-profit institutions which are eligible

for a Fringe Benefit Tax exemption under section 57A of the *Fringe Benefit Tax Assessment Act 1986* are exempt from this change and will continue to be assessed based on the adjusted net value. This change affects the following family assistance and youth payments and supplements:

- Family Tax Benefit Part A and Part B;
- Child Care Benefit for formal care;
- Stillborn Baby Payment;
- Paid Parental Leave; and
- Dad and Partner Pay.
- Youth Allowance (Jobseeker/Student/Other);
- ABSTUDY Living Allowance; and
- Assistance for Isolated Children Additional Boarding Allowance.

The Government has also announced changes to FTB that are subject to the passage of legislation:

- From 1 July 2016, the FTB Part A supplement will be reduced to AUD 602.25 per child and FTB Part B supplement will be reduced to AUD 302.95. They will be reduced to AUD 302.95 and AUD 153.30 respectively from 1 July 2017 and both will be abolished from 1 July 2018;
- From 1 July 2017, entitlement to FTB Part B will be removed for single parent families who are not aged 60 or more or grandparents or great-grandparents, from 1 January of the calendar year their youngest child turns 17 ;
- From 1 July 2018, the FTB Part A fortnightly rates will be increased by AUD 20.02 per child; and
- From 1 July 2018, the exemption from the income test for FTB Part A recipients and the exemption from the parental income test for dependent young people receiving Youth Allowance and ABSTUDY living allowance will be removed if the parent is receiving either a social security pension or social security benefit, and the fortnightly rate of pension or benefit is reduced to nil because of employment income (either wholly or partly).

Schoolkids Bonus

The Schoolkids Bonus ceased to be paid from 1 January 2017.

Income Support Bonus

The Income Support Bonus ceased to be paid from 31 December 2016.

Superannuation

The rate of the superannuation guarantee will be left unchanged at 9.5 per cent until 1 July 2021, when it will increase to 10 per cent. After this, the rate will increase by 0.5 percentage points each year until it reaches 12% on 1 July 2025.

Temporary Budget Repair Tax Levy

The Temporary Budget Repair Levy will cease to apply from 1 July 2017.

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General rates of tax

For the 2016-17 financial year the third tax threshold of \$80,000 will increase to \$87,000.

Child Care Payments

From July 2018, the Child Care Subsidy will replace the Child Care Benefit and the Child Care Rebate with a single, means-tested payment to better support families with access to affordable child care.

Family eligibility for the Child Care Subsidy will be subject to a three-step activity test, more closely aligning the hours of subsidised care with the hours of work, training, study or other recognised activity undertaken, and providing for up to 100 hours of subsidy per fortnight.

Families earning \$65,710[^] or less will receive a subsidy of 85 per cent of the actual fee paid (up to an hourly fee cap). For family incomes above \$65,710[^] and up to \$170,710[^], the subsidy tapers down to 50 per cent, where it remains until incomes reach \$250,000[^], from where it continues to taper to 20% when family income reaches \$340,000[^]. When family incomes reach \$350,000[^] the subsidy becomes 0%

Families on incomes below \$65,710[^] a year will be able to access 24 hours of subsidised care per fortnight without having to meet the activity test.

The hourly fee caps will be \$11.55[^] for Centre Based Long Day Care, \$10.70[^] for Family Day Care and \$10.10[^] for Outside School Hours Care.

[^]Note: These provisions of the Package, as legislated in March 2017, will be increased by CPI for implementation in July 2018